

Tempus AI, Inc.
TEM NASDAQ

Buy	\$56.55 ▲ 3.07%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.16B
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TEM: AI Healthcare Rally Builds on Policy Tailwinds

WHAT HAPPENED

- TEM ripped ~18% in a week (\$47.85 → \$56.55) on monster volume — that's not retail noise, that's institutions piling in. The catalyst stack: healthcare ETFs up 7.6% in 5 days, the open-source Digital Pathology Consortium announcement (positions TEM as the platform standard, not just a vendor), and renewed "10x potential" buzz around AI drug discovery names.
- Options flow is screaming bullish — put/call ratio of 0.28 means traders are buying ~4 calls for every put, and there's unusual call buying at the \$56 strike at nearly 6x open interest. Someone with conviction is positioning for more upside.

WHY IT MATTERS

This move is bigger than just a chart bounce — it's the market re-rating AI healthcare names as policy clarity emerges. The Trump administration's AI Action Plan and the ongoing push to modernize CMS (Medicare) reimbursement codes for AI-assisted diagnostics is a direct tailwind for Tempus, because they get paid per test and per data license. Here's the inference that matters: the CEO sold ~\$3M in stock at \$46 just four weeks ago, and the stock is now \$10 higher — that selling looks like a planned 10b5-1 program rather than a "get out now" signal, because if there were bad news coming he wouldn't be the only seller and we'd see cluster selling. The fact that ARK, Blackrock, and Baillie Gifford collectively own ~15% tells you the "smart growth money" sees this as a multi-year compounder, not a trade.

POLICY & POLITICAL WATCH

Two big things to watch: First, CMS is finalizing 2027 reimbursement rates for next-gen sequencing and AI-driven diagnostics — if they expand coverage (likely, given bipartisan support for precision medicine), TEM's oncology testing revenue gets a structural lift. Second, the administration's AI Action Plan has explicit language about accelerating AI in healthcare and reducing FDA barriers for AI/ML medical devices — that's a regulatory unlock for TEM's algorithm pipeline. The risk on the other side: any Medicaid cuts in the budget reconciliation process could pressure hospital customers' IT budgets, indirectly slowing TEM's enterprise sales cycle.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$56.55
12M Price Target	\$68.00
Upside / (Downside)	+20.2%
Market Cap	\$10.16B
FY2026E Revenue	\$1,480M
FY2027E Revenue	\$1,890M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$62.00	\$56.00	\$48.00
6 Months	\$78.00	\$65.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$32.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$425.00	\$210.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+7.6% in 5 days) is the obvious winner — money is rotating in as investors anticipate friendlier FDA leadership for AI/ML devices and CMS rate clarity. AI-adjacent healthcare names are getting a double tailwind from both sector flows and the AI thematic.

COOLING OFF: Communications Services (-2.6% over 5 days) and Consumer Discretionary (-2.0%) are bleeding — tariff overhang and consumer spending worries are draining those names.

ROTATION WATCH: Capital is moving from "AI hype" mega-caps into "AI applied" smaller names where the use case is real and measurable — healthcare diagnostics and drug discovery are the prime beneficiaries. That's exactly TEM's lane.

RELATED PLAY: If TEM works, the picks-and-shovels plays do too — think genomic sequencing tools (Illumina) and cloud infrastructure providers handling healthcare data (AWS via Amazon, Azure via Microsoft).

WHO'S WINNING IN THIS SPACE?

- RXXR (Recursion Pharmaceuticals): AI drug discovery peer benefiting from the same "AI-applied-to-healthcare" rotation and partnership news flow.
- SDGR (Schrödinger): Computational drug discovery name catching a bid as institutional money looks for non-mega-cap AI exposure.

TEM CONTEXT: TEM is leading its peer group right now — the Digital Pathology Consortium move positions it as the platform layer for the whole industry, not just one of many players. When a company sets the standard, multiple expansion follows. The fact that it's outperforming on rising volume tells me there's still gas in the tank.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$48-52 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, CMS reimbursement cuts to genomic testing, or loss of major health system partnership

Hedging: Pair with short on a richer-multiple AI diagnostics peer or buy protective puts on broad biotech ETF